

People Risk Impact on Exit Execution – Inspironics

BOARD BRIEFING CONFIDENTIAL

Top Stakeholder Risk Heatmap

Raj • RED

Funding control tension – primary blocker on bridge round closure and governance alignment

Ajith • RED

Legal exposure and cap table ambiguity – unresolved shareholder agreement creating deal uncertainty

KS Rao • AMBER

High organizational influence, low active engagement – risk of passive resistance at critical juncture

Jitu • AMBER

Emotional and financial hesitation – undecided on exit terms, potential late-stage objection

Daniel • GREEN

Operational stabilizer – aligned with exit thesis, actively supporting transition readiness

RAG Distribution



4 of 5 key stakeholders require active intervention to unblock exit execution.

Top 3 Risks Blocking Exit

1

Bridge Funding Delays

Raj's unresolved position on bridge round terms is stalling capital availability and creating downstream deal timeline compression

2

Legal / Cap Table Uncertainty

Ajith's open legal dispute and ambiguous shareholding structure present a material due diligence risk that could abort or reprice the deal

3

Vendor Continuity Risk

Key vendor relationships dependent on founder presence – no transition plan in place, creating operational fragility post-close

Mitigation Actions

- **Structured Settlement**
Negotiate binding resolution with **Ajith** to clear legal and cap table ambiguity before data room opens
- **Funding Alignment**
Facilitate term-sheet clarity with **Raj** – define governance guardrails and economic participation to de-risk bridge round
- **Vendor Transition Parallel Path**
Initiate vendor relationship transfer protocol immediately – do not wait for close; run parallel to deal process

"People Risk = Execution Risk" – Every unresolved stakeholder issue is a direct threat to deal closure, valuation, and timeline. Immediate, structured intervention is non-negotiable.